

The DRP Break-Even Worksheet

Run this on your own shop's numbers. About twenty minutes with last month's statements.

The question this answers: if your program ended tomorrow, how many of those cars would have to keep finding you at your door rate before walking away pays you? That's your break-even retention number. Everything below builds it in dollars per car, not percentages, because a concession cuts your bill and your margin at the same time.

Step 1: What a program car actually pays you

Pull 10 recent DRP repair orders. For each one, write the full bill, then subtract every concession: the labor discount, the parts caps, and whatever you ate on scans and calibrations that would have billed at your door rate.

RO #	Full bill	Concessions eaten	Net dollars kept
1			
2			
3			
4			
5			
6			
7			
8			
9			
10			

Average dollars kept per program car: \$ _____

Step 2: What that volume absorbs

Multiply your average dollars kept per car (Step 1) by your monthly DRP car count. That's how much of your rent, payroll, and insurance the program is covering today, the bills that don't care where the car came from.

Monthly DRP cars: _____ × Step 1 average: \$ _____

Monthly absorption: \$ _____

Step 3: The same cars at your door rate

Price the identical repairs at your posted door rate, no concessions. Same job, same parts, full labor.

Average dollars kept per door-rate car: \$ _____

Step 4: Adjust for storage and total losses

If your DRP terms waive or cap storage, or move total losses through differently than your door work does, price that difference in here before you trust the ratio. Shops with heavy total-loss intake feel this the most.

Adjustment to Step 1 or Step 3 (+/-): \$ _____ Reason: _____

Step 5: Your break-even ratio

Divide Step 1 (adjusted) by Step 3 (adjusted). That percentage is your break-even retention rate.

Step 1 (\$ _____) ÷ Step 3 (\$ _____) = _____ %

If you believe at least that percentage of your program cars would still find you at your door rate, through your reputation, your certifications, your referral base, walking away pays you. If you believe fewer would, the program is funding your fixed costs, whatever the rate sheet says.

The flip: if your ratio comes out at or above 100 percent, your program work already carries better margin than your door work. The math ends fast. Keep it.

One honesty check: your competitive landscape sets whether you can actually clear your number. The only quality shop for thirty miles keeps more of its cars than a shop with 6 competitors on the same road. Be honest about which one you are before you commit to a retention estimate.

These mechanics are what transfer. Your numbers are the only ones that matter.